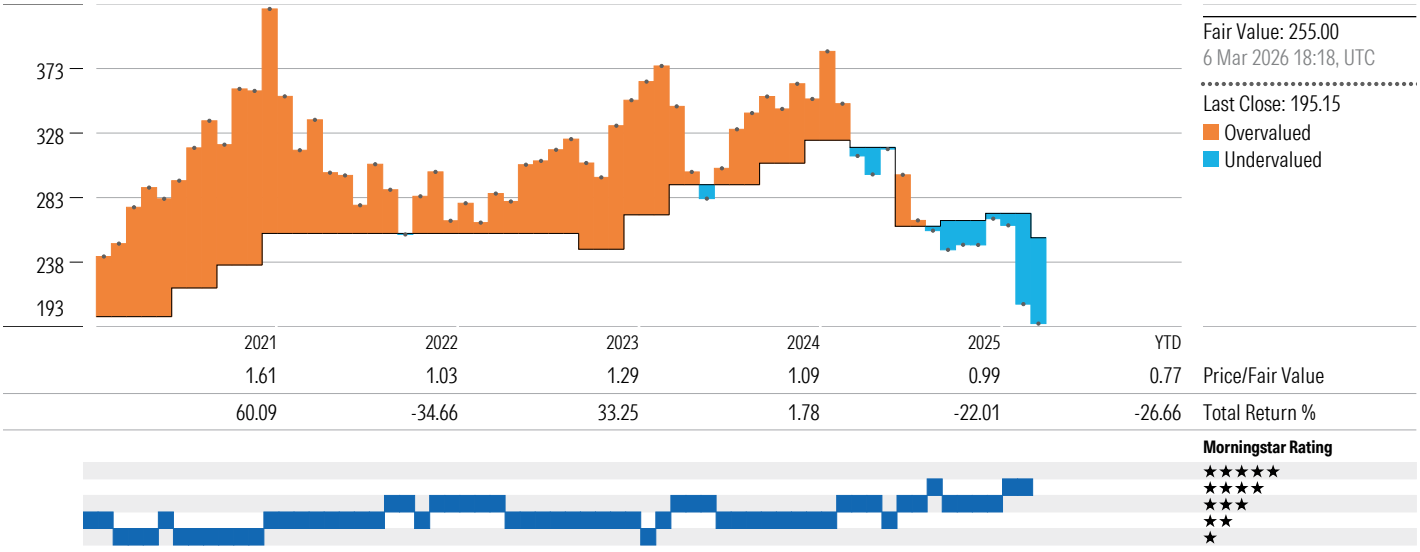
Accenture PLC Class A ACN ★★★★ 18 Mar 2026 21:27, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
195.15 USD 18 Mar 2026	255.00 USD 7 Mar 2026 00:18, UTC	0.77	125.99 USD Bil 19 Mar 2026	Narrow	Large Value	Medium	Standard	4 Mar 2026 06:00, UTC

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD	
	1.61	1.03	1.29	1.09	0.99	0.77	Price/Fair Value
	60.09	-34.66	33.25	1.78	-22.01	-26.66	Total Return %

Total Return % as of 18 Mar 2026. Last Close as of 18 Mar 2026. Fair Value as of 6 Mar 2026 18:18, UTC.

Contents

Analyst Note (19 Mar 2026)
Business Description
Business Strategy & Outlook (6 Mar 2026)
Bulls Say / Bears Say (6 Mar 2026)
Economic Moat (6 Mar 2026)
Fair Value and Profit Drivers (6 Mar 2026)
Risk and Uncertainty (6 Mar 2026)
Capital Allocation (6 Mar 2026)
Analyst Notes Archive
Financials
ESG Risk
Appendix
Research Methodology for Valuing Companies

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Accenture Earnings: Healthy AI Bookings Highlight Relevance in the AI Era; Shares Undervalued

Analyst Note Luke Yang, CFA, Equity Analyst, 19 Mar 2026

Accenture's 4% constant-currency revenue growth and operating margin of 14% for the fiscal second quarter were in line with our expectations. Total quarterly bookings of over $22 billion and 41 diamond client additions both set new records for the company.

Why it matters: Accenture is deepening its partnership with leading enterprise system vendors, underpinning its organizational DNA of constant reinvention to meet clients' shifting needs. Its expansion of entry-level headcount positions it well for artificial intelligence-led enterprise IT demand.

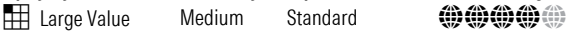
- Over 60% of Accenture's quarterly revenue is driven by its top 10 ecosystem partners, including Microsoft, SAP, and Workday. We believe Accenture can benefit from its dominant position in system integration when enterprises are ready to deploy agentic AI solutions at scale.
- Total AI and data bookings are on track to more than double in fiscal 2026. Customers are coming to Accenture for its strong AI credentials and comprehensive AI portfolio, which has led to strong growth momentum in AI.

The bottom line: We maintain our $255 fair value estimate for narrow-moat Accenture. Despite the 4% postearnings rally, the shares appear undervalued following the earlier selloff on AI disruption fears. In our view, the market is overly concerned about Accenture losing its relevance in the AI era.

- Accenture's strong AI booking trend supports our thesis that clients' IT modernization demand for AI

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Sector
Technology

Industry
Information Technology Services

Business Description

Accenture is a leading IT services firm that provides consulting, system integration, and business process outsourcing to enterprises around the world. Customers of Accenture come from a variety of sectors, including communications, media and technology, financial services, health and public services, consumer products, and resources. Accenture is the world's largest professional services company by headcount, with around 800,000 employees in over 120 countries.

readiness can bring tailwinds to IT consulting firms. However, we reiterate the uncertainty around the timeline of organization-level AI rollouts.

- Continued AI booking growth and on-time conversion from bookings to revenue should help close the 20% gap between the stock's current market price and our fair value estimate.

Coming up: Management increased its full-year free cash flow guidance by $1 billion, to $10.8 billion-$11.5 billion, thanks to robust working capital management that reduced days' sales outstanding by five.

Business Strategy & Outlook Luke Yang, CFA, Equity Analyst, 6 Mar 2026

Accenture boasts many different professional services to tackle almost any need an enterprise might have. We view the company as the best-of-breed professional services provider thanks to its prominent reputation, established customer base, and deep technological expertise.

Accenture is the only IT services company that has the capability to deliver end-to-end business solutions. If a brick-and-mortar bank is planning to launch a mobile banking app, Accenture is ready to assist it throughout the entire process, which includes overarching strategy design, IT system integration, custom application development, new service marketing, and digital infrastructure management. Without Accenture, customers need to source different services from several suppliers, potentially leading to project delays and cost overruns. We believe Accenture's unique capability of providing integrated digital solutions across consulting and managed services boosts the company's image as a flagship IT services provider and reinforces its customer relationship with Fortune 100 companies.

We think Accenture should fare better than other IT services companies as enterprises introduce artificial intelligence agents into their workforces. AI agents pose tangible threats to lower-end IT services, such as infrastructure management and business process outsourcing, because agents could potentially perform better in handling repetitive, mechanical business processes than the human workforce. But as a premier business services provider, Accenture's stronghold lies in higher-end services, like consulting and system integration, that require relatively high levels of human input to tailor solutions for customers. While AI agents can reshape customers' outsourcing practices, we think Accenture is in a good position to ensure that its services stay relevant for clients.

In our view, Accenture should remain the most dominant player in the IT services industry, shaping how enterprises leverage technology to achieve their desired business outcomes. Given its wide geographic and industry coverage, we expect Accenture to deliver stable top-line growth in the long term.

Bulls Say Luke Yang, CFA, Equity Analyst, 6 Mar 2026

- Enterprises' strong demand to integrate AI into their IT systems should provide a lasting growth

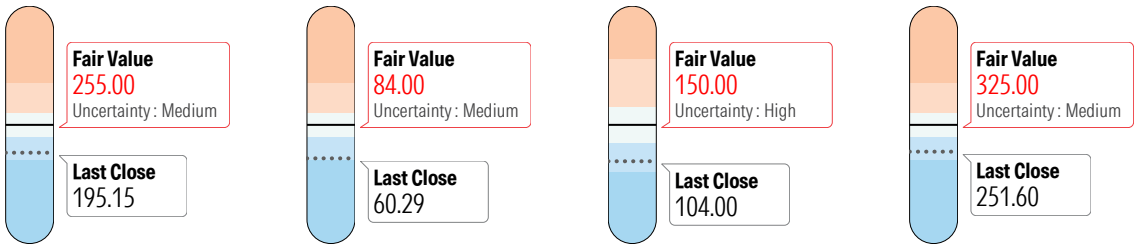
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Competitors



	Accenture PLC Class A ACN	Cognizant Tech...s Corp Class A CTSH	Capgemini SE CAP	International ... Machines Corp IBM
Economic Moat	Narrow	Narrow	None	Narrow
Currency	USD	USD	EUR	USD
Fair Value	255.00 6 Mar 2026 18:18, UTC	84.00 6 Feb 2025 04:00, UTC	150.00 4 Mar 2026 11:35, UTC	325.00 29 Jan 2026 04:11, UTC
1-Star Price	344.25	113.40	232.50	438.75
5-Star Price	178.50	58.80	90.00	227.50
Assessment	Undervalued 18 Mar 2026	Undervalued 18 Mar 2026	Undervalued 19 Mar 2026	Undervalued 18 Mar 2026
Morningstar Rating	★★★★ 18 Mar 2026 21:27, UTC	★★★★ 18 Mar 2026 21:39, UTC	★★★★ 19 Mar 2026 05:37, UTC	★★★★ 18 Mar 2026 21:33, UTC
Analyst	Luke Yang, Equity Analyst	Luke Yang, Equity Analyst	Rob Hales, Senior Equity Analyst	Luke Yang, Equity Analyst
Capital Allocation	Standard	Standard	Standard	Exemplary
Price/Fair Value	0.77	0.72	0.69	0.77
Price/Sales	1.74	1.40	0.81	3.53
Price/Book	4.30	1.92	1.50	7.22
Price/Earning	15.65	13.53	8.03	20.97
Dividend Yield	3.19%	2.09%	3.27%	2.67%
Market Cap	120.10 Bil	28.83 Bil	17.51 Bil	235.18 Bil
52-Week Range	188.73—326.73	60.04—87.03	98.72—156.55	214.50—324.90
Investment Style	Large Value	Mid Value	Large Value	Large Value

tailwind for Accenture.

- Accenture's resources and scope make it uniquely positioned to meet the most challenging digital transformation needs, which deepens valuable client relationships.
- New business lines such as digital creativity can meet changing client demands and boost growth prospects for Accenture.

Bears Say Luke Yang, CFA, Equity Analyst, 6 Mar 2026

- Accenture's growth can come under pressure during economic downturns, where customers put IT and related budgets under scrutiny.
- There is a high degree of uncertainty regarding enterprise customers' trajectory of adopting artificial intelligence, and AI may be less of a growth driver for Accenture than hoped for.
- The advent of AI agents can shift enterprise customers' usage pattern of outsourced labor, which threatens demand for parts of Accenture's managed services offerings.

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Economic Moat Luke Yang, CFA, Equity Analyst, 6 Mar 2026

We assign Accenture a Narrow Morningstar Economic Moat Rating based on its rich intangible assets and strong switching costs. We identify several forms of intangible assets for Accenture, including its brand, expertise, talent, and client relations. These intangible assets enable Accenture to charge premium prices compared with other IT services providers. Additionally, we believe that Accenture's managed services segment benefits from switching costs related to the risks and challenges of changing IT outsourcing providers. Though managed services contracts typically last less than five years, clients often renew their agreements with the same provider again and again due to their familiarity with existing operational processes.

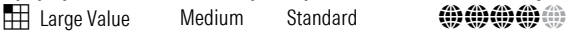
We think a narrow moat rating best reflects our take that Accenture is more likely than not to maintain its return on invested capital above the cost of capital for the next 10 years. In our view, Accenture is a best-of-breed IT services provider that has the capability to solve almost all challenges an enterprise might have. That said, generative AI has the potential to disrupt knowledge-based work, including IT services. Areas where IT consultants provide services are under threat, such as application development and business process outsourcing. We expect IT services firms to see AI headwinds from the loss of billable hours due to software engineering efficiency gains and AI-native systems' gradual replacement of offshore labor across key BPO workflows. This prevents us from assigning Accenture a wide moat rating.

We believe Accenture currently possesses unparalleled brand power in the IT consulting industry, which supports intangible assets as one of its moat sources. According to Forbes, Accenture is the 35th most valuable brand in the world, making it the most valuable business services brand and the only publicly traded business services company among the top 100 brands. Brand power plays an important role when C-suites choose a consulting services provider because the services offered by consultancies are relatively abstract. Customers usually lack an understanding of a consulting project's technical details, but they rely on companies like Accenture to deliver the desired business outcomes. There are very limited benchmarks to measure the effectiveness of a consulting proposal, making brand a crucial factor in winning deals.

Institutionalized industry expertise is another form of intangible asset that we think Accenture enjoys. Accenture serves customers from various industries across both public and private sectors, and the company maintains a healthy balance of revenue from different geographic regions around the world. We believe Accenture's deep technological and strategic proficiency positions it as a trustworthy partner to tackle the world's largest and most complex digital transformation projects. When a global company like Uber wants to launch a new digital experience, Accenture becomes a go-to choice due to its industry-specific knowledge and wide geographical reach. Other smaller IT services companies, such as Cognizant and EPAM Systems, usually have a strong regional focus and offer a limited selection

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of products that do not cater to all aspects of digital transformation requests from large, global customers.

We think Accenture's specialized industry knowledge also benefits its system integration business, which, in our view, has high growth potential. Many system integrators help clients implement and manage enterprise resource planning systems such as SAP and Oracle. However, only top system integrators can ascend the value chain by co-innovating with ERP vendors. ERP implementation and maintenance are among the most important projects for chief information officers, as those systems are crucial to each company's day-to-day operations. We believe partnerships between Accenture and leading ERP vendors should offer Accenture's system integration engineers deeper expertise and process proficiency that is extremely valuable in helping enterprises leverage the full potential of these new systems. ERP vendors would also want to find more opportunities to work with leading IT services firms like Accenture to address customer feedback and augment user experience in the AI era.

We think talent and client relations are both important intangible assets for Accenture. Accenture is the world's largest professional services company by headcount, and Forbes ranks it as one of the top 10 best companies to work for. We believe Accenture has significant power to retain a deep pool of talent to meet customers' evolving business needs across all service lines. For fiscal 2025, Accenture's employee voluntary attrition rate was 15%, which equals around seven years of average tenure across the entire company. Thanks to its consulting business, Accenture often forms direct relationships with C-suites, which is critical to keeping it in the conversation and winning new mandates. The average tenure of over 25 years for Accenture's executive officers ensures a high level of customer familiarity that helps maintain stable relationships with C-suites. People are a deciding factor for IT services companies since all industry expertise and C-suite relationships stem from their partners and consultants. We view Accenture's deep pool of talent and C-suite relationships as an asset that is difficult to develop and extremely valuable.

Besides intangible assets, we also see strong switching costs in Accenture's managed services business. This segment entails repeatable processes, like application management, business process outsourcing, and infrastructure management. Contracts for managed services typically span less than five years. However, the actual client relationships tend to last much longer, as clients usually choose to renew contracts with the same service provider to minimize any risk of business disruption. Accenture already possesses a large, diversified customer base. Currently, there are over 300 diamond clients that spend more than $100 million annually with Accenture, and Accenture's top 100 clients have all worked with the company for more than 10 years.

We think Accenture will continue to benefit from high switching costs across its massive customer base, as switching to another service provider can involve upfront setup costs and a lengthy ramp-up period to get business processes up to speed again. We do not view AI as an immediate threat to

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Accenture's managed services offerings, as the existing AI-native solutions that can do a better job than offshore labor are too expensive, and the ones that are cheap enough can only deliver a subpar service. However, over the long term, we expect an inflection point where AI-based solutions can do a better job than offshore human representatives at a lower price.

In recent years, Accenture introduced new offerings that combine its expertise in consulting and managed services to provide integrated solutions for customers. We believe the volume of projects that involve different capabilities across consulting and managed services is poised to grow for Accenture, as the company has the industry's most comprehensive service offerings to solve nearly all kinds of business challenges. An example of Accenture's compounding capabilities is its collaboration with NBCUniversal to launch the Peacock streaming service. As a full-suite professional services firm, Accenture can participate in the entire lifecycle of the new product, from initial strategy design to ongoing technology maintenance, which sets it apart from other IT services firms. This should leave Accenture as the sole choice for the world's largest companies looking to execute the most ambitious digital transformation projects.

Fair Value and Profit Drivers Luke Yang, CFA, Equity Analyst, 6 Mar 2026

Our fair value estimate is $255 per share, which implies an adjusted price/earnings ratio of 19 times and an enterprise value/adjusted EBITDA ratio of 12 times. We model a 5% cumulative annual growth rate for Accenture over the next five years, mainly driven by the secular increase in enterprise IT spending as companies deploy more AI-related features across their IT systems to streamline workflows.

Although Accenture enjoys a very diversified revenue base, its performance still exhibits cyclicality based on overall enterprise IT spending trends. Following a period of heavy investment during the pandemic, demand for IT services slowed significantly in 2024 and 2025. However, we expect customers to spend more on IT services in the near term as AI-related enterprise systems gain traction. Managed services should benefit more from the AI project tailwind and deliver mid-single-digit growth over the next five years. Consulting revenue should also grow in the midsingle digits thanks to the demand rebound. As Accenture is the top IT services company, we expect its book/bill ratio to stay above 1 in the future. Total employee headcount should grow in line with overall revenue, with no significant changes to consultant utilization and voluntary attrition rates.

We model a stable margin trend for Accenture over the next five years. Operating margin should expand moderately from 15% in fiscal 2025 to 17% in fiscal 2030 as a result of fixed costs spreading over a larger revenue base.

Risk and Uncertainty Luke Yang, CFA, Equity Analyst, 6 Mar 2026

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We assign Accenture a Medium Morningstar Uncertainty Rating, primarily based on the moderate economic sensitivity of the IT services and consulting industry. Although we deem macroeconomic cyclicality a manageable risk for Accenture, we acknowledge that increasing uncertainty under the current geopolitical environment can adversely affect Accenture's performance in the near term, given the company's wide geographical reach and variety of services.

IT services companies like Accenture are subject to overall sentiments of enterprise IT spending, which can change based on different economic environments. Over the past two years, many companies faced a tougher business environment due to higher interest rates, which led to a growth slowdown for Accenture's core businesses. More recently, the US federal government also put many federal consulting contracts under closer scrutiny, which brings additional near-term uncertainty to the company.

In the long term, we don't view economic cyclicality or policy uncertainty as a major concern for Accenture. Accenture has one of the most diversified revenue bases in the IT services world, and the company is agile in responding to client demand by adjusting its massive employee base. We think Accenture's employee utilization of above 90% and voluntary attrition in the low teens are both healthy, underpinning the company's capability to stabilize its cost base.

We believe enterprises' deployment of AI agents will introduce a massive shift to the enterprise IT tech stack and outsourcing behaviors. However, we don't view AI as a tangible threat for Accenture at the moment. As the top IT services provider, Accenture is going to play an important role in shaping corporate clients' best practices in utilizing AI agents, and demand for new AI-oriented projects should drive additional growth for Accenture.

Capital Allocation Luke Yang, CFA, Equity Analyst, 6 Mar 2026

We assign Accenture a Standard Morningstar Capital Allocation Rating based on our assessment of a sound balance sheet, standard investments, and appropriate shareholder distributions.

We think Accenture's balance sheet is sound, given its healthy cash cushion and minimal debt. The $5 billion debt addition in 2024 did not materially alter the company's capital structure, and we expect Accenture to maintain its outstanding credit profile thanks to a diversified revenue base and healthy cash flow momentum.

We believe Accenture has done a decent job growing its business through external investments. Fiscal 2024 was a big year for Accenture, with the company investing more than $6 billion across 46 strategic acquisitions. We view bolt-on acquisitions as a common practice among IT services firms, as they help companies quickly build capacity in adjacent markets. While it might still be too early to tell the outcome of recent investments, we think Accenture has a decent record of turning acquired businesses into new growth engines. Accenture Song, the company's digital creativity group, was formed through an acquisition in 2019, and it has already become one of the major growth drivers for Accenture today.

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We believe Accenture should continue with its current pace of investments, and we model an average of nearly $3 billion in annual investments over the next five years.

Finally, we rate Accenture's shareholder distribution as appropriate. The company has a history of consistent dividend increases, with the payout ratio generally falling between 35% and 45%. Accenture also runs a mature share-repurchase program as an additional channel to distribute returns to shareholders. In total, the company distributes at least 75% of its operating cash flow back to shareholders annually, which we think is appropriate, given its sizable cash flow and mature growth profile.

Analyst Notes Archive

Accenture Earnings: AI Library Expansion Solidifies Wide Moat; Further Demand Rebound Takes Time Luke Yang, CFA,Equity Analyst,18 Dec 2025

Accenture delivered solid first-quarter results, with revenue up 5% in constant currency to $18.7 billion. Adjusted operating margin also expanded 30 basis points to 17%, topping management's full-year margin expansion target of between 10 and 30 basis points. Why it matters: We think an easing macro environment is the main factor driving up Accenture's stock price by over 10% in the past month. IT services demand remains largely unchanged from the previous quarter, and a discretionary IT spending rebound is yet to appear in Accenture's new bookings. Financial services remain the only industry group recording a double-digit quarterly revenue growth. Further stabilization of economic fundamentals should lead to more stable growth from industry groups like health and public service, supporting our mid-single-digit revenue forecast. Managed services revenue grew 8% this quarter, as opposed to consulting's 4%. As clients continue to prioritize cost optimization-related projects, we expect the difference in growth momentum to stay, with managed services growing 300 basis points faster than consulting in fiscal 2026. The bottom line: We raise our fair value estimate for wide-moat Accenture to $272 from $267 as the company continues to deliver stable performance and navigate a course to become a leading artificial intelligence solution provider. Shares appear fairly valued to us. We like Accenture's efforts to amass intangible assets that support its wide moat as customers embrace AI across their workflows. Accenture now has a library of over 3,000 deployed AI agents, supporting Advanced AI bookings' 76% year-over-year growth to $2.2 billion in the first quarter. Coming up: Management maintained its full-year revenue growth guidance of between 2% and 5% in constant currency. While full-year adjusted operating margin guidance stayed the same, higher-than-expected optimization costs pushed down GAAP margin guidance by 10 basis points to 15.2%-15.4%.

Accenture Earnings: Client Relations and Partnership Expansion Support Resilient Performance Luke Yang, CFA,Equity Analyst,25 Sep 2025

Accenture's fiscal 2025 revenue growth of 7% and adjusted operating margin of 15.6% topped

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MORNINGSTAR®

Accenture PLC Class A ACN ★★★★ 18 Mar 2026 21:27, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
195.15 USD 18 Mar 2026	255.00 USD 7 Mar 2026 00:18, UTC	0.77	125.99 USD Bil 19 Mar 2026	Narrow	Large Value	Medium	Standard	4 Mar 2026 06:00, UTC

management's guidance. Fourth-quarter new bookings grew 6% year over year to $21.3 billion, reversing the previous two quarters' declining trend and lifting the book-to-bill ratio to 1.2. Why it matters: Accenture's resilient performance amid a volatile economic environment comes from its deep relationship with the world's largest enterprises and a robust partnership ecosystem. However, more work is required to retool its gigantic workforce for artificial intelligence-based transformation projects. Financial services stands out as the only industry group posting double-digit growth in fiscal 2025, thanks to strong cloud and cybersecurity demand. The US federal segment remains soft, but a new partnership with Palantir should expand Accenture's opportunity set with federal customers. Accenture's fiscal 2025 year-over-year headcount growth of less than 1% was the smallest in over five years, highlighting its current talent strategy that focuses on workforce upskilling. Management expects to add headcount in fiscal 2026 based on market demand. The bottom line: We raise our per share fair value estimate for wide-moat Accenture to $267, from $263, mainly due to the time value of money. We view shares as undervalued, and Accenture's deep understanding of enterprise IT should expand its footprint as AI adoption increases. Accenture's record of 129 major bookings above $100 million in fiscal 2025 means that clients trust the company as a reliable partner that can fulfill their biggest digital transformation ambitions, which underpin the intangible assets and switching costs Accenture enjoys. Coming up: Management guides a 2%-5% revenue growth in constant currency for fiscal 2026, of which around 150 basis points are from inorganic channels. In addition, we like management's focus on adjusted operating margin expansion, targeting between 10 and 30 basis points for fiscal 2026.

Accenture: Flagship IT Service Provider's Wide Moat Is From Intangible Assets and Switching Costs

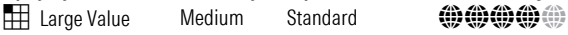
Luke Yang, CFA,Equity Analyst,25 Jun 2025

We transfer coverage of Accenture, the world's largest IT services provider that helps enterprise customers across various industries with their digital transformation projects. The bottom line: We maintain Accenture's wide moat rating, Medium Uncertainty Rating, and Standard Capital Allocation Rating. We are lowering Accenture's fair value estimate to $263 per share from $311 as we trim our revenue growth forecast. We now expect Accenture's total revenue to surpass $85 billion by fiscal 2029, from $87 billion previously, due to increased economic volatility and geopolitical uncertainty that can lead to enterprise IT spending delays. Shares currently look moderately overvalued to us. We believe the market has not yet fully priced in the near-term challenges that Accenture is facing, especially given the soft bookings trend for both consulting and managed services segments. Big picture: We view Accenture as the best-of-breed IT services company thanks to its prominent reputation, established customer base, and deep technological expertise. As a flagship IT services provider, Accenture boasts a unique capability of providing integrated digital solutions from strategy design to service implementation and maintenance, which is critical to win deals with the world's largest customers. We believe the volume of new projects that require capabilities across consulting and managed services is

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poised to grow, benefiting Accenture's newer business lines such as Industry X and Song. Between the lines: Although artificial intelligence agents may threaten lower-end IT services like business process outsourcing, we think Accenture should fare better than competitors. Accenture is known for its higher-end services, such as consulting, that require relatively high levels of human input for tailored customer solutions. As AI agents enter the workforce, dominant players like Accenture should continue to shape how customers use technology to achieve desired business outcomes.

Accenture Earnings: Negative Bookings Trend Raises Uncertainty to Future Growth; Reducing Valuation Eric Compton, CFA,Director,20 Jun 2025

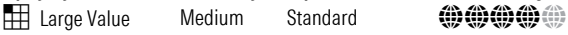
Wide-moat Accenture reported third-quarter results slightly above our expectations. Revenue grew 7% in constant currency to $18 billion, and the operating margin of 16.8% is an 80-basis-point year-over-year expansion. However, total new bookings recorded two consecutive quarters of year-over-year decline as a result of heightened economic and geopolitical uncertainty. We now foresee a stronger near-term demand headwind for IT services firms, and we are lowering Accenture's fair value estimate to $311 per share, from $318 previously. Shares currently look moderately undervalued to us, as we believe agentic artificial intelligence-oriented demand from enterprises should provide a stable long-term growth tailwind.This quarter, all five of Accenture's industry groups experienced healthy growth, with financial services growing the fastest at 13% in constant currency. Financial services group's outstanding performance is in line with the strong double-digit growth of Accenture's cloud and security products, as many financial institutions are looking to streamline digital service quality by migrating their tech stack to the cloud. Americas remain the fastest-growing region, recording 14% growth this quarter. Management noted immaterial impact from the US federal business on third-quarter results, and an approximately 2% growth headwind for the fourth quarter. We think Accenture, as the largest IT services provider, remains an important technology partner to the US federal government. The long-term impact of government contract cancellations should be minimal.We surmise that a business mix shift toward the higher-margin consulting segment was the main driver behind Accenture's operating margin expansion this quarter. We view the change in business mix as a short-term fluctuation since consulting projects are more prone to customers' IT budgets than managed services contracts. We think Accenture's operating margin should stabilize at under 16% over the next five years.

Accenture Earnings: Profitability Miss Overshadows Better-Than-Expected Sales; Valuation Cut Eric Compton, CFA,Director,20 Mar 2025

Wide-moat Accenture reported fiscal 2025 second-quarter revenue that surpassed both our and consensus estimates, but profitability fell short of expectations. Management updated its full-year outlook, now expecting revenue growth of 5%-7% in local currency (up from 4%-7% previously), GAAP operating margin of 15.6%-15.7% (down from 15.6%-15.8%), and GAAP diluted earnings per share to

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$12.55-$12.79 (up from $12.43-$12.79 previously). We attribute this mixed guidance to elevated macroeconomic uncertainty and increased government scrutiny of federal consulting contracts. We have tempered our near- to medium-term top-line forecasts to reflect a slowdown in growth due to federal contract withdrawals, but our longer-term revenue growth remains intact. As a result, we decreased our fair value estimate to $318 from $323. Shares were down 7% in March 20 intraday trading due to the profitability miss and fears around lowered federal revenue. We view shares as fairly valued. We anticipate that most government contracts will still be “mission critical” and therefore not canceled, but if more government contracts are cancelled than we expect, there would be additional modest downside to our estimates.Fourth-quarter revenue was $16.7 billion, up 5% year over year due to continued traction in large deal acquisition on generative artificial intelligence applications. Consulting revenue grew 3% year over year while management services grew 8%. Firmwide bookings fell 3% year over year to $20.9 billion, but we believe that is largely due to lumpy ordering and wouldn't read too much into that trend. The firmwide book/bill ratio fell to 1.3 from 1.4 in the prior-year period but was up from 1.1 in the last quarter. GenAI remained a bright spot, contributing nearly $600 million in top-line growth during the quarter and with bookings coming in at $1.4 billion. We continue to expect demand for AI projects and a return in IT spending to support Accenture's growth over the next few years.

Accenture Earnings: Shares Trading Up Following Guidance Beat; Fair Value Estimate Raised to $323

Eric Compton, CFA,Director,19 Dec 2024

Wide-moat Accenture reported solid fiscal 2025 first-quarter results, with both revenue and profitability surpassing our estimates and FactSet consensus. Management updated its full-year outlook for fiscal 2025, now expecting revenue growth of 4%-7% in local currency (up from 3%-6% previously). GAAP operating margin guidance remains in the range of 15.6%-15.8%, but GAAP-diluted EPS is now expected to be between $12.43-$12.79 due to foreign exchange headwinds.Overall, the results were positive, driving a 7% increase in shares as of this writing. We are also revisiting our own expectations as we transfer coverage to a new analyst, and we have adopted a more optimistic outlook for long-term growth and additional margin expansion. The current guidance suggests a deceleration in revenue growth will occur after the first quarter, particularly on smaller deals, and we have adjusted our estimates accordingly. However, we remain optimistic about long-term growth, driven by a recovery in customer spending, and expect Accenture to leverage its brand identity and service suite to capture market share. We were also encouraged by the 20% sequential increase in AI-related billings to $1.2 billion in the quarter. As a result, we are raising our fair value estimate to $323 from $307 and view shares as moderately overvalued following the spike at market open.First-quarter revenue reached $17.7 billion, up 9% year on year mostly due to strength in large deals on generative AI-driven digital transformations. We were pleased with the 7% increase in consulting revenues and 11% growth in managed services revenue year over year. We continue to keep an eye on the declining firm-wide book/

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bill ratio, which came in at 1.1, with consulting book/bill remaining flat at 1.0 and managed services book/bill declining sequentially to 1.1. We expect these muted trends to continue in the near term but anticipate a pickup in bookings as IT spending rebounds.

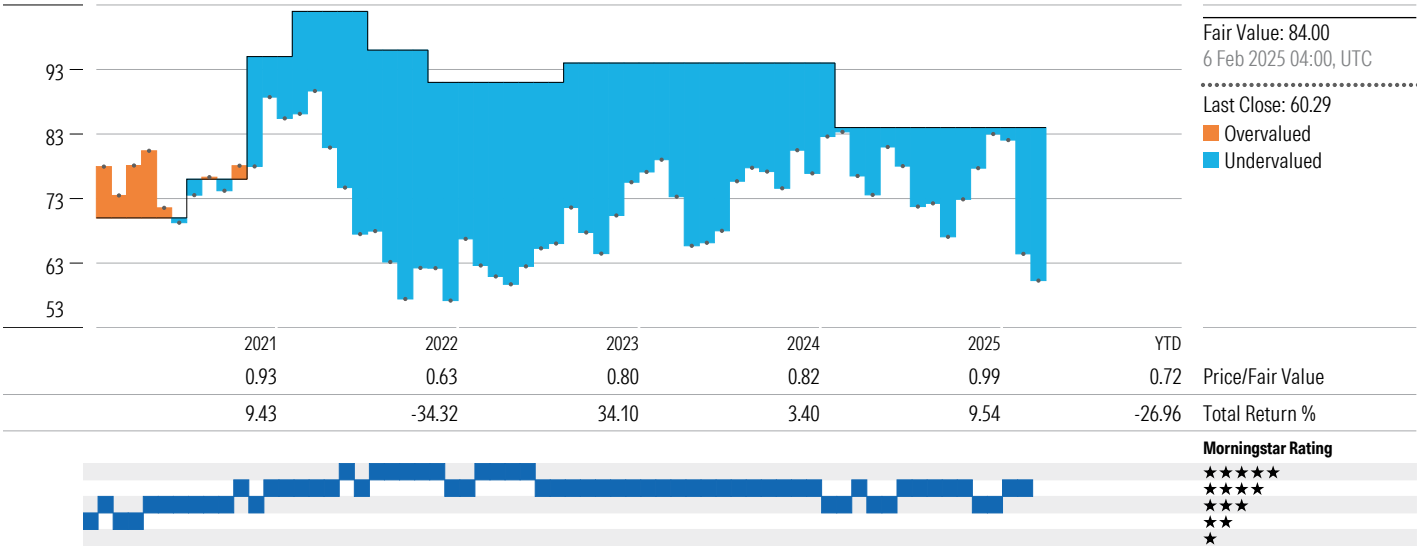
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Competitors Price vs. Fair Value

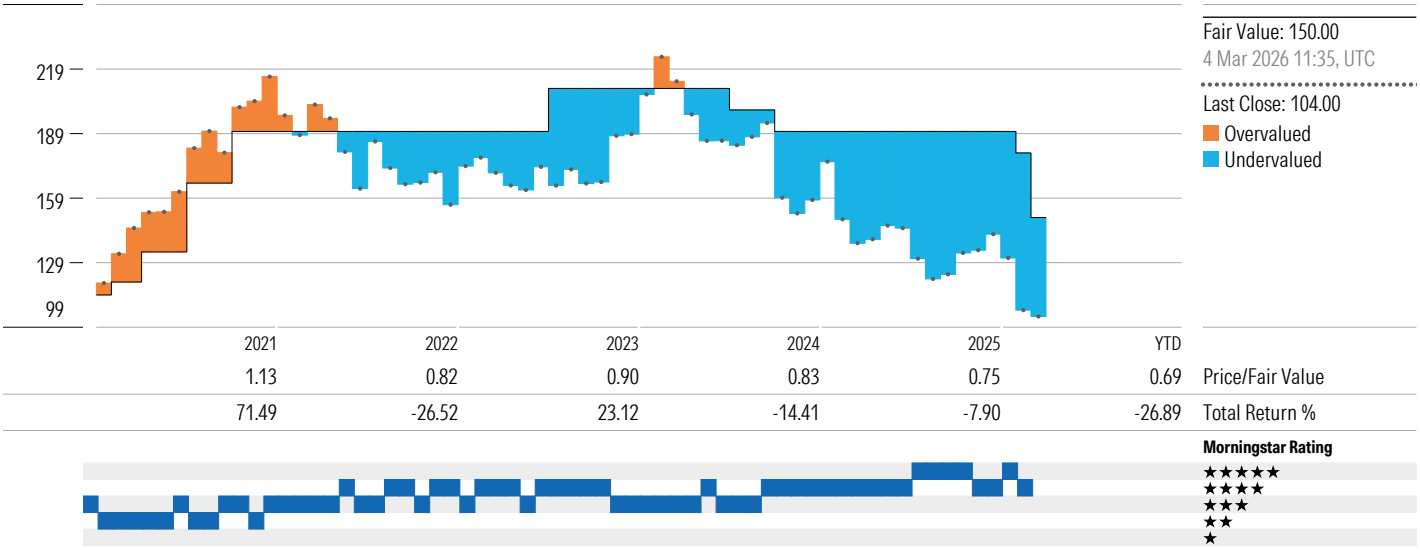
Cognizant Technology Solutions Corp Class A CTSH



	2021	2022	2023	2024	2025	YTD	
	0.93	0.63	0.80	0.82	0.99	0.72	Price/Fair Value
	9.43	-34.32	34.10	3.40	9.54	-26.96	Total Return %

Total Return % as of 18 Mar 2026. Last Close as of 18 Mar 2026. Fair Value as of 6 Feb 2025 04:00, UTC.

Capgemini SE CAP



	2021	2022	2023	2024	2025	YTD	
	1.13	0.82	0.90	0.83	0.75	0.69	Price/Fair Value
	71.49	-26.52	23.12	-14.41	-7.90	-26.89	Total Return %

Total Return % as of 18 Mar 2026. Last Close as of 18 Mar 2026. Fair Value as of 4 Mar 2026 11:35, UTC.

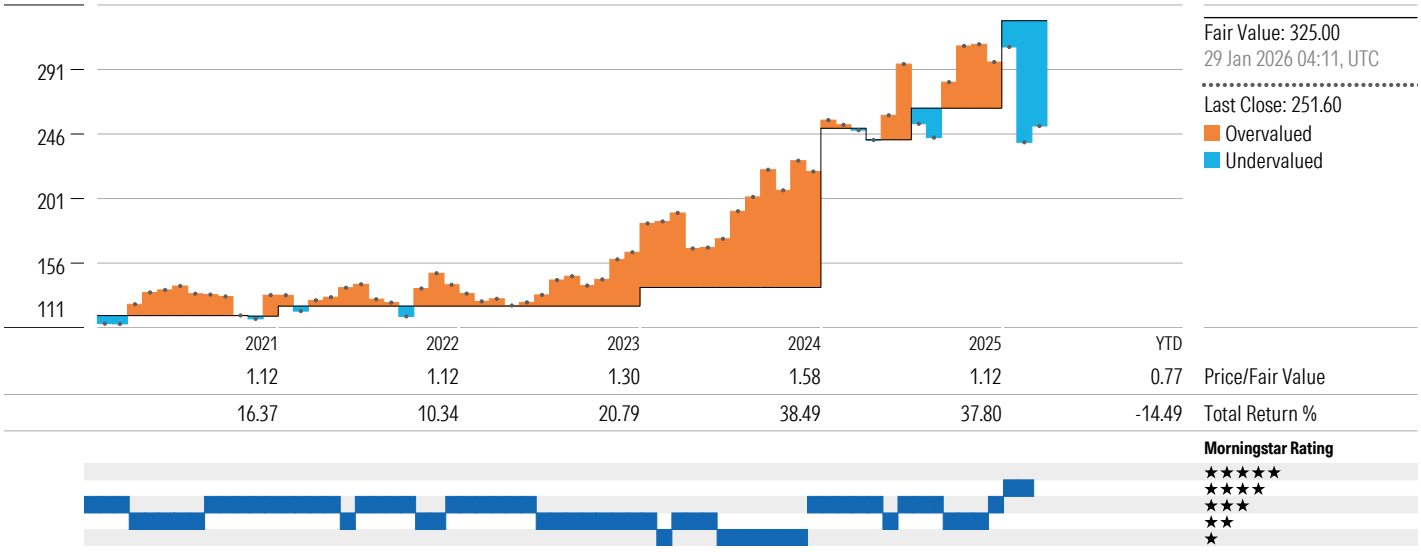
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Competitors Price vs. Fair Value

International Business Machines Corp IBM



	2021	2022	2023	2024	2025	YTD	
	1.12	1.12	1.30	1.58	1.12	0.77	Price/Fair Value
	16.37	10.34	20.79	38.49	37.80	-14.49	Total Return %

Total Return % as of 18 Mar 2026. Last Close as of 18 Mar 2026. Fair Value as of 29 Jan 2026 04:11, UTC.

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Morningstar Valuation Model Summary

Financials as of 05 Mar 2026	Actual			Forecast				
Fiscal Year, ends 31 Aug	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Revenue (USD Mil)	64,112	64,896	69,673	73,573	77,625	81,512	85,188	88,814
Operating Income (USD Mil)	9,873	10,034	10,841	11,860	12,808	13,612	14,482	15,187
EBITDA (USD Mil)	10,211	11,026	11,658	12,501	14,133	14,978	15,946	16,647
Adjusted EBITDA (USD Mil)	10,211	11,026	11,658	12,501	14,133	14,978	15,946	16,647
Net Income (USD Mil)	6,879	7,272	7,678	8,486	9,510	10,316	11,067	11,666
Adjusted Net Income (USD Mil)	6,879	7,272	7,678	8,486	9,510	10,316	11,067	11,666
Free Cash Flow To The Firm (USD Mil)	5,509	646	8,048	7,283	8,062	8,978	9,652	10,799
Weighted Average Diluted Shares Outstanding (Mil)	639	636	632	627	621	618	615	612
Earnings Per Share (Diluted) (USD)	10.77	11.44	12.14	13.54	15.31	16.69	18.00	19.06
Adjusted Earnings Per Share (Diluted) (USD)	10.77	11.44	12.14	13.54	15.31	16.69	18.00	19.06
Dividends Per Share (USD)	4.48	5.16	5.92	6.52	6.88	7.36	8.00	8.60

Margins & Returns as of 05 Mar 2026		Actual			Forecast					
	3 Year Avg	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**5 Year Avg**
Operating Margin %	14.4	15.4	15.5	15.6	16.1	16.5	16.7	17.0	17.1	16.5
EBITDA Margin %	—	15.9	17.0	16.7	17.0	18.2	18.4	18.7	18.7	—
Adjusted EBITDA Margin %	—	15.9	17.0	16.7	17.0	18.2	18.4	18.7	18.7	18.2
Net Margin %	11.0	10.7	11.2	11.0	11.5	12.3	12.7	13.0	13.1	12.5
Adjusted Net Margin %	11.0	10.7	11.2	11.0	11.5	12.3	12.7	13.0	13.1	12.5
Free Cash Flow To The Firm Margin %	7.0	8.6	1.0	11.6	9.9	10.4	11.0	11.3	12.2	11.0

Growth & Ratios as of 05 Mar 2026		Actual			Forecast					
	3 Year CAGR	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**5 Year CAGR**
Revenue Growth %	4.2	4.1	1.2	7.4	5.6	5.5	5.0	4.5	4.3	5.0
Operating Income Growth %	5.0	5.4	1.6	8.0	9.4	8.0	6.3	6.4	4.9	7.0
EBITDA Growth %	3.1	-4.4	8.0	5.7	7.2	13.1	6.0	6.5	4.4	7.4
Adjusted EBITDA Growth %	3.0	-4.4	8.0	5.7	7.2	13.1	6.0	6.5	4.4	7.4
Earnings Per Share Growth %	3.8	-0.8	6.2	6.2	11.5	13.1	9.0	7.8	5.9	9.4
Adjusted Earnings Per Share Growth %	3.8	-0.8	6.2	6.2	11.5	13.1	9.0	7.8	5.9	9.4

Valuation as of 05 Mar 2026	Actual			Forecast				
	2023	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Price/Earning	30.1	29.9	21.4	14.4	12.7	11.7	10.8	10.2
Price/Sales	3.2	3.3	2.3	1.6	1.5	1.5	1.4	1.4
Price/Book	8.0	7.7	5.3	3.7	3.3	2.9	2.6	2.3
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	19.4	19.3	13.8	9.5	8.4	7.9	7.4	7.1
EV/EBIT	20.1	21.3	14.8	10.0	9.3	8.7	8.2	7.8
Dividend Yield %	1.4	1.5	2.3	3.3	3.5	3.8	4.1	4.4
Dividend Payout %	41.6	45.1	48.8	48.2	44.9	44.1	44.5	45.1
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 05 Mar 2026	Actual			Forecast				
Fiscal Year, ends 31 Aug	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
ROA %	13.4	13.0	11.8	12.8	13.7	14.0	14.2	13.8
ROE %	26.0	24.9	24.0	24.6	24.9	24.0	23.0	21.8
ROIC %	36.0	28.7	26.6	28.0	28.6	28.8	29.1	29.4

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Accenture PLC Class A ACN ★★★★ 18 Mar 2026 21:27, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
195.15 USD 18 Mar 2026	255.00 USD 7 Mar 2026 00:18, UTC	0.77	125.99 USD Bil 19 Mar 2026	Narrow	Large Value	Medium	Standard	4 Mar 2026 06:00, UTC

Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Aug	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	1.5	1.9	4.8	2.9	2.3	2.1	1.4	1.4
Assets/Equity	1.9	1.9	2.0	1.9	1.8	1.7	1.6	1.6
Net Debt/EBITDA	-0.6	-0.1	-0.3	-0.4	-0.4	-0.4	-0.5	-0.8
Total Debt/EBITDA	0.3	0.4	0.7	0.4	0.3	0.3	0.2	0.2
EBITDA/ Net Interest Expense	-31.0	-106.6	-260.6	-127.4	-279.9	-109.3	-99.6	-70.0

Forecast Revisions as of 6 Mar 2026	2026		2027		2028	
Prior data as of 18 Dec 2025	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	255.00	272.04	—	—	—	—
Revenue (USD Mil)	73,573	69,673	77,625	73,573	81,512	77,625
Operating Income (USD Mil)	11,860	10,841	12,808	11,860	13,612	12,808
EBITDA (USD Mil)	12,501	11,658	14,133	12,501	14,978	14,133
Net Income (USD Mil)	8,486	7,678	9,510	8,486	10,316	9,510
Earnings Per Share (Diluted) (USD)	13.54	12.14	15.31	13.54	16.69	15.31
Adjusted Earnings Per Share (Diluted) (USD)	13.54	12.14	15.31	13.54	16.69	15.31
Dividends Per Share (USD)	6.52	5.92	6.88	6.52	7.36	6.88

Key Valuation Drivers as of 05 Mar 2026

Cost of Equity %	9.0
Pre-Tax Cost of Debt %	5.8
Weighted Average Cost of Capital %	8.9
Long-Run Tax Rate %	23.5
Stage II EBI Growth Rate %	4.0
Stage II Investment Rate %	9.0
Perpetuity Year	15

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 05 Mar 2026

	USD Mil
Present Value Stage I	32,387
Present Value Stage II	56,750
Present Value Stage III	59,064
Total Firm Value	**148,201**
Cash and Equivalents	11,485
Debt	5,149
Other Adjustments	0
Equity Value	**154,537**
Projected Diluted Shares	626
Fair Value per Share (USD)	**255.00**

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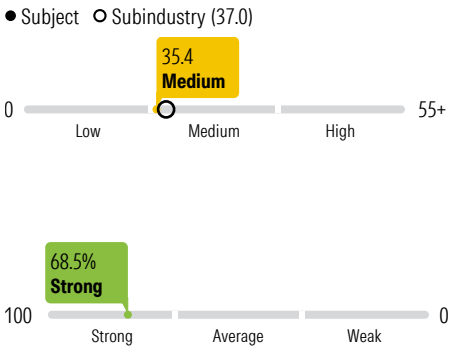
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Accenture PLC Class A ACN ★★★★ 18 Mar 2026 21:27, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
195.15 USD 18 Mar 2026	255.00 USD 7 Mar 2026 00:18, UTC	0.77	125.99 USD Bil 19 Mar 2026	Narrow	Large Value	Medium	Standard	 4 Mar 2026 06:00, UTC

ESG Risk Rating Breakdown





- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

ESG Risk Rating Assessment[5]



ESG Risk Rating is of Mar 04, 2026. Highest Controversy Level is as of Mar 08, 2026. Sustainalytics Subindustry: IT Consulting. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 68.5% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

Peer Analysis 04 Mar 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Accenture PLC	35.4 | Medium	0	55+	68.5 | Strong	100	0	12.9 | Low	0	40+
Cognizant Technology Solutions Corp	36.4 | Medium	0	55+	61.4 | Strong	100	0	15.8 | Low	0	40+
International Business Machines Corp	36.4 | Medium	0	55+	62.8 | Strong	100	0	15.2 | Low	0	40+
Capgemini SE	36.9 | Medium	0	55+	77.2 | Strong	100	0	10.5 | Low	0	40+
Tata Consultancy Services Ltd	37.0 | Medium	0	55+	61.9 | Strong	100	0	15.8 | Low	0	40+

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Appendix

Historical Morningstar Rating

Accenture PLC Class A ACN 18 Mar 2026 21:27, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	★★★★	★★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★	★★★	★★★★	★★★	★★★	★★	★★★	★★★	★★★	★★	★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★	★★	★★	★★	★★	★★	★★★	★★★	★★★	★★	★	★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★	★★	★★	★★	★★	★★	★★	★★	★★★	★★★	★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★	★★	★★★	★★★	★★	★★	★★	★★	★★	★★	★★	★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★	★	★	★	★	★	★★	★	★	★	★★	★★

Cognizant Technology Solutions Corp Class A CTSH 18 Mar 2026 21:39, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	★★★★	★★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★★	★★★	★★★	★★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★	★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★	★★	★★★	★★

Capgemini SE CAP 19 Mar 2026 05:37, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	★★★★	★★★★★	★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★★	★★★	★★★	★★★	★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★★	★★★★	★★★★	★★★	★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★	★★★★	★★★★	★★★	★★★	★★★★	★★★	★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★★	★★★	★★	★★	★★★	★★	★★	★★	★★	★★	★★★

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International Business Machines Corp IBM 18 Mar 2026 21:33, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	★★★★	★★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★	★★	★★	★★★	★★★	★★★	★★	★★★	★★★	★★★	★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★	★	★	★	★	★	★★	★★	★★	★	★★	★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★	★★	★★	★★	★★	★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★	★★	★★★	★★★	★★★	★★★	★★	★★★	★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	★★★	★★	★★	★★	★★	★★	★★★	★★★	★★★

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

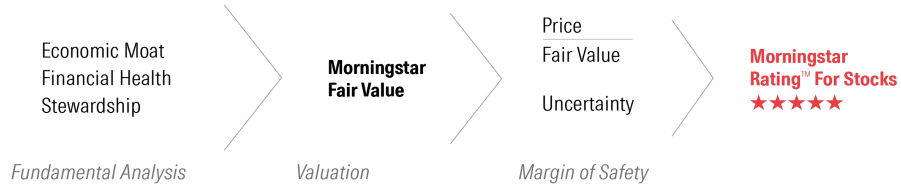
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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Research Methodology for Valuing Companies

outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

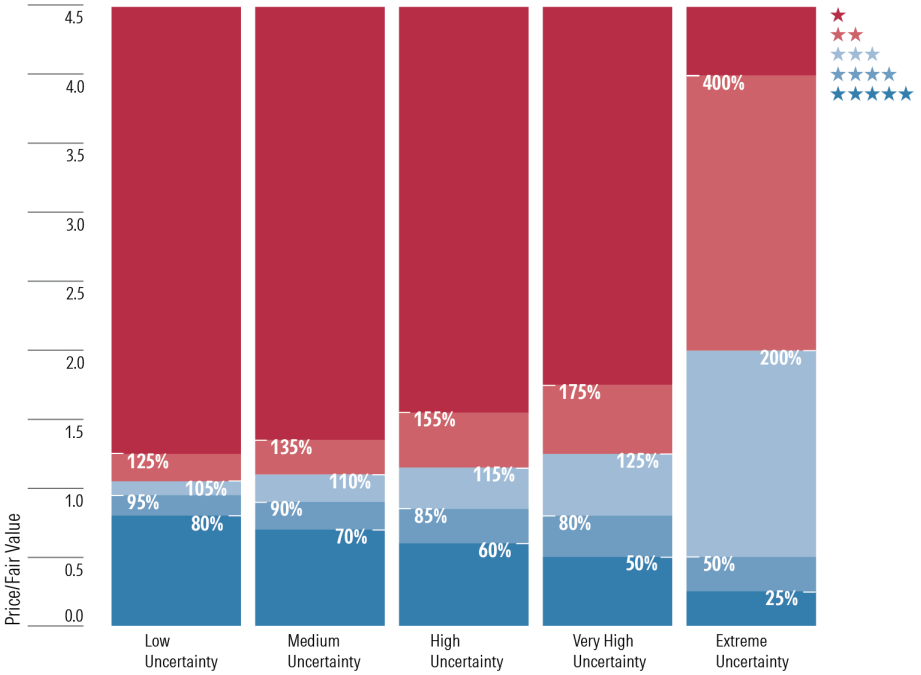
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

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Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

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